

SKILLED NURSING & LONG-TERM CARE

The Texas probate window closes in 121 days.

Why skilled nursing facilities lose recoverable balances to deadlines they never see — and how continuous probate and bankruptcy monitoring keeps the claim alive.

Every skilled nursing operator carries balances that die with the resident — not because the money was unrecoverable, but because the legal window to recover it closed before anyone acted. Texas law gives a decedent's estate powerful tools to cut off unsecured creditors quickly, the fastest probate procedures skip the creditor-claims process entirely, and a resident's bankruptcy runs on its own federal clock that does not stop at death. Facilities know about a death immediately. What they rarely see is what happens next at the courthouse — and by the time they do, the window is often already closed.

Executive summary

The difference between a recovered balance and a write-off is usually the calendar, not the collectability. A single permissive notice under Texas Estates Code § 308.054 can bar a facility's claim **121 days after receipt**. A muniment of title can close an estate in **three to six weeks with no claims process at all**. A bankruptcy petition starts a **70-day proof-of-claim clock** that survives the debtor's death. Each deadline runs whether or not anyone is watching — so Southwest Recovery Services watches: continuous monitoring of Texas probate filings and federal bankruptcy dockets on every placed account, converting missed, time-barred write-offs into timely, perfected claims. This paper explains the deadline architecture, the compliant way to pursue an estate, and what a facility should do in the first 30 days after a resident's death.

1. The write-off nobody schedules

When a resident with an outstanding balance passes away, the account does not become uncollectible — it becomes a claim against the resident's estate, living on someone else's timeline. The family decides when (and whether) to open probate, often weeks or months later, and possibly in a county the facility has no reason to watch. The personal representative decides whether to send the notices that start the clocks. And in the fastest procedures, the estate can be fully resolved before a non-monitoring creditor knows a case was filed.

None of this is misconduct — it is how the system is designed. Texas probate rewards creditors who see the filings and act inside the windows, and it quietly bars the ones who don't. The deadliest deadline arrives by ordinary mail: one permissive notice, received in a billing office that doesn't recognize what it is, and the countdown runs regardless. The remedy is not heroics after the fact — it is seeing the filing, and the notice, the week they happen.

2. The Texas deadline architecture

The Texas Estates Code builds a sequence of notices and bars around every formal administration. These are the dates a long-term care creditor most needs to understand:

TRIGGER	DEADLINE	CITATION	WHAT IT MEANS FOR A FACILITY
Letters issued — representative must publish general notice to creditors	Within 1 month of letters	§ 308.051	The public signal an administration is open. Monitoring catches it; waiting for personal notice does not.

TRIGGER	DEADLINE	CITATION	WHAT IT MEANS FOR A FACILITY
Permissive notice to an unsecured creditor	Claim barred 121 days after receipt	§§ 308.054, 355.060	Optional for the estate, decisive for the creditor. Arrives by mail, not through the court file. The single most dangerous letter in the process.
No permissive notice sent	Any time before the estate closes, within limitations	§ 355.001	Limitations is tolled 12 months after death or until a representative qualifies, whichever is first — real time, but not unlimited time.
Authenticated claim presented (dependent administration)	Allow/reject within 30 days; silence = rejection	§ 355.008	The claim must be sworn — just, with all offsets and credits applied (§ 355.002) — or it tolls nothing and requires no response.
Claim rejected (dependent administration)	Suit within 90 days or barred	§ 355.051	Rejection starts a second, shorter clock. Calendar it the day the claim goes out.
Claim presented to an independent executor	Does not toll limitations	§ 403.057	The trap. Tolling requires the executor's written approval, a suit pending at death, or suit against the executor.

The § 403.057 rule deserves emphasis because independent administration is the Texas default. The costliest mistake in Texas creditor practice is treating an independent administration like a dependent one: mailing in a claim, hearing nothing, and assuming the claim is preserved while limitations quietly runs out. In an independent administration the effective paths are the executor's written approval, a negotiated resolution, or suit — a decision that has to be made while the clock is still running, which is why identifying the administration type early matters as much as detecting the filing itself.

3. Four administration paths — four different creditor playbooks

Texas probate is not one process. The path the family chooses determines whether a creditor-claims process exists at all:

PATH	TYPICAL DURATION	CREDITOR-CLAIMS PROCESS	WHAT A FACILITY CREDITOR MUST KNOW
Independent administration (chs. 401–403)	~4–12 months	Minimal court supervision; formal authenticated claim generally not required (except after a § 308.054 notice)	Presentment does not toll limitations. Different playbook: executor approval or suit.
Dependent administration (ch. 355)	~12–24 months	Full court supervision; authenticated claims, 30-day allow/reject, 90-day suit-after-rejection, statutory payment priority	The "classic" process. Procedural precision wins; calendar every deadline from presentment.
Muniment of title (ch. 257)	~3 weeks–3 months	None — no executor appointed, no claims process	Available only where the estate has no unpaid unsecured debts (other than real-property-secured ones). A muniment filing on an account with a known balance is a signal to act immediately — the creditor's existence normally defeats eligibility.
Small estate affidavit (ch. 205)	~1–2 months	None — transfers assets without administration	Intestate estates of \$75,000 or less (excluding homestead/exempt property). No protective framework; speed of detection is everything.

Half of the Texas probate map has no claims process at all. Muniments and small-estate affidavits resolve estates in weeks without ever inviting creditors in — if a facility's recovery strategy assumes it will receive notice and an opportunity to file, it

is only covered on half the map. A determination-of-heirship proceeding (ch. 202) frequently accompanies intestate cases and is often the fastest reliable way to identify who will speak for the estate — the person a creditor is permitted to contact.

4. The bankruptcy track: 70 days, and death doesn't stop it

Long-term care balances do not only migrate to probate court. If a resident or responsible party files bankruptcy, Federal Rule of Bankruptcy Procedure 3002(c) makes a proof of claim timely only if filed within **70 days after the order for relief** — the petition date, in a voluntary case — and the exceptions are narrow. Two features of the bankruptcy rules matter specifically to facility creditors:

- **Death does not end the case.** Under Rule 1016, a chapter 7 does not abate when the debtor dies — the trustee administers the estate as if the death had not occurred. Chapter 11, 12, and 13 cases may be dismissed or may continue where further administration serves the parties; *In re Querner*, 7 F.3d 1199 (5th Cir. 1993), is the controlling authority for Texas cases.
- **The two tracks hand off to each other.** A decedent's estate cannot itself file bankruptcy, so an account can move from a bankruptcy posture to a probate posture (death before filing) or continue in bankruptcy after death (chapter 7). A creditor watching only one docket sees half the account's life.

The operational consequence is simple: every placed account needs both a probate watch and a federal docket watch, because the 70-day federal window and the 121-day Texas bar can each independently extinguish the claim.

5. What compliant estate outreach looks like

Recovering from an estate is lawful, expected, and expressly contemplated by federal law — provided the outreach respects a bright line: **the estate owes the debt; the family does not.** The FDCPA at 15 U.S.C. § 1692c(d) permits communication with the executor or administrator when the consumer is deceased. The FTC's 2011 Statement of Policy extended permissible contact to the spouse, executor, administrator, or any person authorized to pay the decedent's debts from estate assets — while warning collectors never to mislead survivors into believing they are personally liable. Regulation F then codified the modern framework: "consumer" means any natural person, *whether living or deceased* (12 CFR § 1006.2(e)), and for communication purposes includes the executor, administrator, or personal representative of the estate (§ 1006.6(a)(4)) — a category the commentary defines broadly to include persons acting under informal probate and those who dispose of estate assets extrajudicially.

In practice: when locating the right party, a collector may say it wishes to discuss payment of the deceased person's bills but may not reveal the debt to third parties, may not contact at unusual times or places, and must honor validation and dispute rights running to the estate's representative under §§ 1006.34 and 1006.38. Community-property and cosigner situations are state-specific exceptions that require counsel's guidance before any personal-liability position is taken. These guardrails are not obstacles to recovery — they are the recovery strategy. Estate representatives resolve claims presented professionally, with documentation, through the channel the law prescribes; survivor-pressure tactics are the single most common source of regulatory and reputational damage in decedent collections, and they have no place in ours.

6. Continuous monitoring: how the gap gets closed

The deadline architecture rewards exactly one capability — knowing about filings when they happen. Southwest Recovery Services runs two coordinated watches across placed accounts:

- **Texas probate monitoring.** Probate filings across all 254 Texas counties are checked systematically against placed accounts — watching for new administrations, muniment and small-estate filings, heirship proceedings, and the administration type each case takes, since the type dictates the creditor playbook.
- **Federal bankruptcy monitoring.** The federal courts' electronic records are monitored for new petitions touching placed accounts, so the 70-day proof-of-claim window is calendared from the petition date — and a death inside an open case is caught and handled under the correct chapter's rules.

Coverage and verification

Our monitoring spans all 254 Texas counties. Because electronic indexes are unofficial, every actionable hit is verified against the county clerk's official record before a claim decision is made — so the speed of statewide monitoring never comes at the cost of accuracy.

When a filing hits, the account moves into the correct workflow: authenticated-claim preparation and statutory calendaring in a dependent administration; executor engagement or suit evaluation in an independent one; immediate action where a muniment or small-estate filing appears on an account with a known balance; and proof-of-claim preparation inside the bankruptcy window. The value is structural: continuous monitoring converts a missed, time-barred write-off into a timely, perfected claim.

7. The first 30 days after a resident's death: a facility protocol

WINDOW	ACTION
Days 1–3	Document the date of death and preserve the complete account file — admission agreement, itemized statements, payment history, correspondence. An authenticated Texas claim must swear the balance is just with all credits applied; the file proves it.
Days 1–7	Identify (without dunning) the likely personal representative or next of kin from admission records. Locating the person authorized to act for the estate is permitted; discussing or disclosing the debt to anyone else is not.
Days 7–14	Place or flag the account with your recovery partner so probate and bankruptcy monitoring attaches immediately. The § 308.054 clock and the Rule 3002(c) clock both run whether or not anyone is watching.
Days 14–30	Route any probate-related mail — especially anything referencing notice to creditors — to a single owner the same day it arrives. A 121-day bar received in the mailroom is still a 121-day bar.
Always	The estate is the payor; the representative is the counterparty. Never seek or accept a personal payment commitment from a family member for the decedent's balance, and never condition anything on a survivor's personal payment.

About Southwest Recovery Services

Southwest Recovery Services is a contingency-based receivables recovery firm headquartered in Addison, Texas, working unpaid balances for skilled nursing, assisted living, and long-term care operators alongside nine other industry verticals since 2004. Over two decades we have placed more than \$975M in receivables, recovered over \$76M for clients, and worked 800,000+ accounts, with nationwide reach from 12 offices in 7 states. The model is simple: pure contingency, with no upfront fee, no retainer, and no minimum — no recovery, no fee — backed by a documented, Reg F-compliant process and ACA International and HFMA membership.

Put a probate and bankruptcy watch on your aged balances.

Send us your facility's decedent and aged-account inventory and we will show you which accounts still have an open window — and which windows are closing.

Call (866) 551-4684 · info@swrecovery.com · swrecovery.com

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